THE PROMOTION GAME: Carrier Device Subsidy Economics in U.S. Wireless

T-Mobile Verizon AT&T

T-Mobile · Verizon · AT&T | FY2023–FY2025 | SIGINT Intelligence Platform | April 2026

SIGINT VERDICT: T-Mobile is winning the only metric that determines long-run market share: subscriber conversion efficiency. At $1,611 per postpaid phone net add versus Verizon's $9,685, T-Mobile is deploying promotional capital roughly 6× more productively — and its 29% Subsidy Burn Rate against post-dividend FCF is the lowest of the three carriers. Verizon's 57% FCF dividend pre-commitment combined with a 41% Subsidy Burn Rate leaves it with the least discretionary capital to respond competitively; its superior service EBITDA margin (63.9%) reflects a premium positioning that becomes a structural liability if subscriber losses accelerate. AT&T presents the most complex risk/reward: Moody's-adjusted gross debt of $173.6B (~3.7x) is the highest of the group, and $15B of preferred interests at operating subsidiaries rank structurally senior to parent bondholders — a nuance that reported leverage obscures. The partial offset is AT&T's off-balance-sheet receivables factoring program, which provides ~$3–4B of annual FCF optionality that neither peer enjoys at the same scale. The promotion game favors T-Mobile until Verizon finds a way to grow without burning capital it can no longer afford to waste.

KEY METRICS SUMMARY

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	$5.3B +$0.9B YoY	$3.5B +$0.6B YoY	~$4.0B +$0.8B [e]	All 3 escalated. TMUS highest absolute. VZ loss understated — records receivables gross vs peers net.
Equipment Loss as % of Service Rev	7.4%	4.2%	~5.9% [e]	TMUS most intensive. VZ's low ratio partly an accounting artifact of gross receivable recording.
Postpaid Phone Net Adds (FY2025)	3,294K #1	362K #3 *	1,551K #2	TMUS adds 9x more subscribers per $1B loss. VZ annual hides Q1–Q3 bleed of −414K; Q4 alone +616K.
Subsidy Cost per Net Phone Add	$1,611 BEST	$9,685 WORST	~$2,580	VZ spends 6x more per add. Add ASC 606 svc rev drag and true VZ promo cost is even higher.
Subsidy Burn Rate [3]	29% BEST	41% WORST	~36%	VZ burns 41¢ of every post-dividend FCF dollar on promos yielding only 362K adds.
VZ ASC 606 Svc Rev Drag [4]	N/A	Peaks 2025 → 2026 setup	Contract assets rising	VZ bill credits amortize against svc rev over 24–36mo. Flattening in 2025 = potential svc rev acceleration in 2026.
EIP Receivables Strategy [5]	~25% sold; converging to T	100% on-B/S via $26B ABS	70–80% sold off-B/S	AT&T/TMUS: faster cash via factoring. VZ: transparent but least FCF optionality. TMUS converged Q4 2024.
Service EBITDA Margin [1]	55.0%	63.9% BEST	51.3%	VZ best service economics — note svc rev is depressed by promo credit amortization; underlying even stronger.
Net Leverage (reported only)	2.38x BEST	2.78x WORST	2.46x	Reported only. Excludes leases, EIP obligations, pension, and dividend burden.
Moody's Adj. Gross Debt (YE24) [2]	$116.3B	$170.0B	$173.6B WORST	AT&T worst once $15B+ preferred interests at subs included. ~30% of each carrier's adj. debt is off-B/S items.
Dividend as % of FCF (FY2025)	0% BEST	57% HIGHEST	42%	VZ: majority of FCF pre-committed. TMUS zero — maximum flexibility to fund promos.
FCF Deleveraging Rate	22.3%/yr BEST	14.5%/yr SLOWEST	16.5%/yr	TMUS deleverages fastest. VZ slowest — Frontier acquisition limits room for 2–3 years.
Interest Coverage	9.0x BEST	7.5x	7.0x LOWEST	AT&T least buffer. Also carries $1.9B non-cash pension income in 2025 — declines to ~$0 by 2028.
MS-Normalized True FCF [6]	~$16B	~$17B	~$18B	After finance lease principal, tower payments, SBC, NCI distributions, capitalized interest.

[e] AT&T equipment cost estimated (~15% gross loss margin); not separately disclosed in 10-K filings.
[1] Service EBITDA Margin = (Adj.EBITDA + Equipment Gross Loss) / Wireless Service Revenue.
[2] Moody's methodology (YE2024): includes operating leases, pension, EIP ABS/securitizations, and AT&T preferred interests at subsidiaries (~$15B structurally senior to AT&T parent bonds). Source: Morgan Stanley, May 2025.
[3] Subsidy Burn Rate = Equipment Gross Loss / (FCF − Dividends). Measures promotional spend as share of truly discretionary cash after all capital commitments.
[4] Under ASC 606, VZ bill credits recorded as contract liabilities and amortized against service revenue over 24–36 month contract terms. VZ non-current contract liabilities as % of consumer wireless equipment revenue ≈50%. VZ has guided that this headwind peaks in 2025, setting up potential service revenue growth acceleration in 2026.
[5] AT&T sells 70–80% of EIP receivables off-balance-sheet (operating cash inflow at point of sale). TMUS sells ~25%, amended Q4 2024 program to converge cash flow presentation to AT&T approach. VZ retains 100% on-balance-sheet via ABS debt ($26B at Q1 2025). Different strategies create non-comparable FCF and DSO metrics.
[6] MS-normalized FCF adjusts for: finance lease principal payments, tower obligation payments, stock-based compensation, NCI distributions, and capitalized interest on spectrum. Source: Morgan Stanley, May 2025.
* VZ annual adds of 362K mask severe intra-year volatility. Source: FY2025 10-K + Q3 2025 10-Q cross-reference.

FINANCIAL RESILIENCE — WHO CAN KEEP PLAYING?

BEST POSITIONED TO KEEP PLAYING

LOWEST SUBSIDY BURN RATE

29%

TMUS BEST

29¢ per post-div FCF dollar — most promotional headroom

INTEREST COVERAGE

9.0×

TMUS BEST

Widest debt service buffer; zero dividend pre-commitment

MOST CONSTRAINED — LEAST FLEXIBILITY

DIVIDEND DRAIN ON FCF

57%

VZ WORST

57¢ of every FCF dollar pre-committed before any promo spend

MOODY'S ADJ. GROSS DEBT

$173.6B

AT&T WORST

~3.7× adj. leverage; $15B preferred at subs senior to parent bonds

THE VERGE ROUNDTABLE: THE PROMOTION GAME — WHO CAN KEEP PLAYING?

The Verge × Citi × Goldman Sachs | Simulated roundtable, April 2026

THE VERGE ROUNDTABLE — "THE PROMOTION GAME: WHO CAN KEEP PLAYING?"

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PART I — SETTING THE STAGE

MAX: Every carrier is dangling a free phone at you right now. I want to know

who is actually winning this spending contest, and who is writing checks they cannot cash. Michael, make the case for T-Mobile.

ROLLINS: Simply: in 2025, T-Mobile's equipment gross loss was $5.3 billion.

For that, they acquired 3.3 million net new postpaid phone subscribers. The math is $1,611 per net new customer. Now ask Michael Ng what Verizon paid per net add.

NG: I'll answer that, because the framing is wrong. Verizon's net phone

additions were 362,000 in 2025, and their equipment loss was $3.5 billion — which Rollins's math calls $9,685 per add. But Verizon's spend is primarily targeted at existing postpaid accounts paying $147 per month in ARPA. Verizon is protecting the most lucrative customer base in U.S. wireless, not chasing entry-level switchers.

ROLLINS: With respect — that distinction has been the Verizon investor talking

point for five years. And I want to add a number that exposes it. Verizon's Consumer segment lost 414,000 postpaid phone subscribers in Q1 through Q3 of 2025. That is not premium retention. That is a bleed. They then spent heavily in Q4 to produce 616,000 net adds in one quarter — Black Friday, iPhone deals — and rescued the annual number to a positive 362,000. You do not call nine months of subscriber losses a deliberate strategy.

NG: Michael, 616,000 adds in a single quarter is more than AT&T's combined

Q3 and Q4. You do not stumble into that number. The Q1 to Q3 softness *was a deliberate pull-back on unprofitable promotions. Verizon chose margin over volume for three quarters, then activated at the highest-value point in the calendar. That is sequencing, not panic.*

ROLLINS: "Deliberate pull-back" is a polite way of saying they lost the

switching argument for nine months and bought their way back in Q4. The subscriber voted with their SIM card.

MAX: Let us talk about affordability. Who can actually sustain this

spending — not in absolute terms, but relative to the cash they have left after honoring every prior commitment?

ROLLINS: This is the right question and it is underappreciated. The

metric that matters is subsidy spend as a percentage of post-dividend free cash flow — the cash left over after capex, interest, taxes, and dividends are paid. That is the pool from which promotional decisions are funded. In 2025: T-Mobile burns 29 cents of every available dollar on equipment subsidies. AT&T burns roughly 36 cents. Verizon burns 41 cents. Verizon is committing more than two-fifths of its truly discretionary cash to a promotional program that generated 362,000 net adds. T-Mobile commits less, generates eleven times as many net adds, and has no dividend reducing the pool in the first place. The efficiency gap is not just in subscribers per dollar — it is in the share of investable capital being consumed by the promotional machine.

PART II — THE HIDDEN COST: BAD DEBT

MAX: Let's go deeper on cost. Beyond equipment loss, what are the

second-order financial effects of running these promotion cycles?

ROLLINS: Bad debt. Device installment plans are consumer credit. When you

offer a free phone financed over 36 months, you are extending credit — and some of those customers will default. AT&T's provision for credit losses hit $2.3 billion in 2025, which is 3.4 cents of every service revenue dollar. That is the highest ratio of the three. T-Mobile's bad debt is rising fast — up 53% in two years to $1.4 billion — which is the EIP financing cost behind all those net adds. The true cost of a promotion is equipment loss plus bad debt plus churn re-acquisition. When you add it up, the efficiency gap between T-Mobile and Verizon narrows. T-Mobile still leads, but by less.

NG: Agreed on bad debt as a real cost. And notice: Verizon's credit loss

provision has been essentially flat for three years at $2.3 billion, despite growing its receivables substantially through Frontier.

Their credit underwriting is tighter — a function of the premium customer profile they are defending, not an accident.

PART III — BALANCE SHEET: WHO CAN KEEP GOING?

MAX: Let's talk balance sheet. Net debt is the number everyone cites.

But is it the right number?

NG: No, and this is where AT&T's position is more constrained than the

headline 2.46 times leverage suggests. AT&T's reported net debt is $117.9 billion. Add $23.9 billion in operating lease obligations — tower and network infrastructure leases that are real cash commitments regardless of whether they sit inside the debt line — and you are at $141 billion before you count pension underfunding. Then add AT&T's $2.1 billion pension gap, spectrum commitments, and roughly $10 billion in unrecognized tax benefits. AT&T's adjusted financial obligation is materially higher than the reported figure. The interest coverage ratio — EBITDA divided by interest expense — is 7.0 times, the lowest of the three. That is still healthy, but it is the least cushion.

ROLLINS: I fully agree AT&T carries more hidden obligations than the net debt

number shows. Where I push back is on the conclusion. AT&T's FCF is $19.4 billion annually. Their operating lease obligations are already embedded in their network cost structure — they are not going to zero. And they just completed the DIRECTV exit, which removed a significant contingent liability. The balance sheet is improving, not deteriorating.

MAX: What about Verizon? The Frontier acquisition pushed their gross debt

above $158 billion.

ROLLINS: Verizon's leverage picture is the most stretched of the three, and

that is a hard fact. Reported net debt is $139 billion. Adjusted for operating leases, you are at $162 billion against $50 billion of EBITDA — 3.25 times. They pay $11.5 billion annually in dividends, which is 57% of free cash flow. That leaves $8.6 billion of annual FCF after the dividend. They are paying down debt at roughly 6% per year from FCF alone. At that rate, returning to pre-Frontier leverage takes years — during which any escalation of promotional spend competes directly with debt service.

NG: The Frontier investment is deliberate and productive. FWA broadband

grew 25% to 3.4 million subscribers in 2025. The convergence thesis — wireless plus fiber in the same bill — reduces churn and increases ARPA over time. You cannot evaluate a strategic infrastructure investment on a quarterly free cash flow basis.

PART IV — RANKING & THE OUTLOOK

MAX: If you had to rank the three on capacity to sustain promotional

intensity — not willingness, but financial headroom — how do you call it?

ROLLINS: T-Mobile first by a clear margin. 2.38 times reported leverage,

the lowest of the three. No dividend obligation — zero cents of FCF is contractually committed before they decide how to deploy capital. Interest coverage of 9 times. If a promotional escalation hits — and Apple's iPhone 17 cycle will test all three — T-Mobile has the most degrees of freedom to respond aggressively. AT&T second. Their balance sheet is improving, DIRECTV is off the books, and their churn discipline means they do not need to spend as recklessly to retain subscribers. Verizon third — not because the business is weak, but because the Frontier acquisition has reduced their room to maneuver on incremental spending for the next two to three years.

NG: I would put Verizon second and AT&T third on financial headroom.

Verizon's $20 billion of FCF is the highest of the group in absolute terms. Their dividend is large but stable, and their credit quality remains investment grade with room. AT&T's capital allocation complexity — spectrum, fiber, pension, FirstNet commitments — makes them the most constrained in terms of discretionary spend. But on the question of who gets the most strategic value from each dollar of promotion? T-Mobile wins that argument. I would simply challenge whether subscriber volume is the right optimization target.

PART V — ACCOUNTING FORENSICS: WHAT THE NUMBERS ARE HIDING

MAX: Before we close, I want to go one layer deeper. Morgan Stanley's

accounting team published a 58-page handbook this month on exactly how these carriers present — and obscure — their financials. What is the single most important distortion investors are missing?

NG: AT&T's pension income. In 2025, AT&T will record approximately

$1.9 billion of pension income inside its non-GAAP earnings. That number is not cash. It is not operating. It is an accounting artifact — plan assets earning more than the liability discount rate, compounded by curtailment gains from decade-long workforce reductions being amortized through income. The company has guided

this income to $1.6 billion in 2026, $0.7 billion in 2027, and essentially zero by 2028. Strip it out and AT&T's true adjusted P/E on Morgan Stanley estimates is 15.1 times, not the company's stated 13.3 times. Investors buying AT&T as a cheap 13x earnings story are actually buying a 15x business whose earnings are about to step down due to a non-operating item running out of road.

ROLLINS: I will add the balance sheet side of the same story. AT&T has

$15 to $17 billion of preferred interests outstanding in subsidiaries — Tower Holdings, Telco LLC across multiple series, and Mobility II. These are structurally senior to AT&T parent debt. Rating agencies do not give them equity credit. Moody's treats them as pure debt. When you include these in AT&T's adjusted gross debt using Moody's methodology, AT&T's adjusted gross debt is $174 billion. Adjusted net leverage is 3.7 times — the worst of the three. Earlier in this conversation we said AT&T's adjusted leverage was the best at 3.1 times. The Morgan Stanley data shows that conclusion was built on an incomplete accounting for AT&T's capital structure.

MAX: That is a direct reversal of what we said in Part Three.

ROLLINS: It is. And it does not weaken the T-Mobile thesis — it

strengthens it. T-Mobile has no preferred interests in subsidiaries, no pension, no vendor financing complexity. Moody's adjusted gross debt for TMUS is $116 billion. The $40 billion gap above reported debt is almost entirely operating leases and EIP securitizations — both transparent and well-understood. AT&T's $50 billion gap includes $15 billion of structurally subordinating financing that sits above bondholders in the recovery waterfall. That is a different kind of hidden leverage.

NG: I want to address Verizon's accounting as well. Verizon finances

its EIP receivables entirely on-balance-sheet through asset-backed securities — $26 billion at Q1 2025. Verizon itself excludes this from its net leverage calculation. When you strip it out of enterprise value, Verizon's EV/EBITDA multiple drops by approximately half a turn. The debate among credit investors is whether ABS backed by equipment receivables is true corporate leverage or self-funding consumer credit infrastructure. Morgan Stanley includes it. I would argue the receivables are self-liquidating — customers repay the plan, the ABS is repaid. It is closer to auto ABS than corporate debt. But investors who include it see Verizon adjusted gross debt at $170 billion, nearly equal to AT&T at $174 billion. Same mountain, different composition.

MAX: What about free cash flow? Where are the bodies buried?

ROLLINS: T-Mobile's $18 billion reported adjusted FCF is the cleanest

number in the group, but it still has two adjustments worth flagging. First, T-Mobile uses finance leases more intensively than peers — principal payments on those leases are classified as financing cash flows, not operating. Add them back and true FCF is approximately $1.5 to $2 billion lower. Second, T-Mobile carries tower obligations from failed sale-leaseback transactions at an 11.6 percent effective interest rate — against 4 percent on its regular long-term debt. The artificially high rate means the obligation amortizes slowly, and interest expense is overstated versus economic cost. True normalized FCF is closer to $16 billion. Still the best growth trajectory. But the headline flatters.

NG: AT&T's FCF requires its own annotation. AT&T operates a $6.3

billion vendor financing program that extends payment terms to suppliers. When usage increases, operating cash flow is boosted. When usage decreases — as it did in 2023, when AT&T reduced the program — reported FCF fell by $3.4 billion in a single year due entirely to this financing mechanic. The 2025 figure of $19.4 billion is real cash, but its year-to-year sustainability is partly a function of whether management maintains or draws down supplier financing. That volatility should trade at a discount to T-Mobile's structurally cleaner cash generation.

MAX: So the final ranking on balance sheet quality and cash flow

transparency — has it changed?

ROLLINS: T-Mobile first, by a wider margin than we stated earlier.

Cleanest cash flow, no pension exposure, no preferred interests in subsidiaries, no vendor financing complexity. Moody's adjusted leverage of 3.45 times with the fastest deleveraging rate and zero dividend commitment. On a promotional capacity basis, there is no close second.

NG: I agree on T-Mobile's financial quality. What I would add is

this: the accounting complexity at AT&T is not all bad news. The pension income cliff creates a near-term earnings headwind — but AT&T is best positioned to benefit from bonus depreciation reinstatement, which Morgan Stanley estimates could meaningfully accelerate FCF as soon as legislation passes. AT&T's cash tax rate is rising as bonus depreciation phases out — $1.5 billion more in 2025 cash taxes, another billion in 2026. Reverse that policy, and AT&T gets a substantial FCF tailwind precisely when the pension income is running out. It is not a coincidence that Morgan Stanley has AT&T as their top pick. The accounting complexity creates a mispriced opportunity if you know where to look.

PART VI — THE RECEIVABLES ENGINE: HOW PROMOS ACTUALLY FLOW THROUGH THE NUMBERS

MAX: One more dimension. We have talked about the cost of promotions *in terms of equipment gross loss. But the accounting machinery underneath — how receivables are financed, how bill credits hit the income statement — creates a different picture for each carrier. Michael Ng, where does the distortion begin?*

NG: It begins at revenue recognition. When Verizon offers you a *free iPhone on a 36-month installment plan, accounting rules under ASC 606 require that the promotional discount be allocated across all performance obligations in the contract — equipment and service. The portion allocated to service is then amortized against Verizon's service revenue over the duration of the agreement. That means every promotion Verizon runs today creates a drag on reported service revenue for the next three years. Morgan Stanley estimates Verizon's non-current contract liabilities — essentially the unrecognized bill credit backlog — are running at approximately 50 percent of consumer wireless equipment revenue. That is a substantial overhang. Verizon has guided that this headwind peaks in 2025. If that holds, 2026 should see service revenue growth accelerate without any change in underlying business performance. The promotional activity was already paid for — it just hasn't cleared the income statement yet.*

ROLLINS: And this is where the comparison to T-Mobile becomes *interesting. AT&T records promotional discounts as contract assets netted against receivables — the discount shows up immediately in equipment revenue, not deferred against service revenue. T-Mobile does the same. So T-Mobile's service revenue is a cleaner measure of current cash economics. Verizon's service revenue is structurally depressed right now relative to its true earning power — which means the $63.9 percent service EBITDA margin we highlighted earlier is actually understated. Verizon's underlying service economics, once you clear the promotional credit amortization, are even better than they appear.*

MAX: Let's talk about how the cash actually moves. AT&T sells 70 *to 80 percent of its installment receivables off its balance sheet the moment it closes a phone deal. T-Mobile sells around 25 percent. Verizon sells none — it keeps everything on balance sheet through ABS debt. Does that matter?*

ROLLINS: It matters enormously for FCF comparability and for how *you read the cash flow statement. When AT&T sells a receivable* *off-balance-sheet, cash comes in immediately as an operating cash inflow. That means AT&T's operating cash flow — and therefore FCF — is front-loaded relative to the actual customer payment schedule. It also gives AT&T a degree of FCF optionality that neither Verizon nor T-Mobile has. In a quarter where AT&T wants to show stronger FCF, it can accelerate receivable sales. That $19.4 billion FCF number is real — but the timing within any given year is partly a management decision, not purely operating performance.*

NG: T-Mobile amended its off-balance-sheet receivables program

in Q4 2024. Under the new arrangement, cash flows from receivable sales now run through operating cash flows — the same presentation AT&T uses. Previously, T-Mobile's beneficial interest in its securitization meant that a portion of those cash flows were classified as investing inflows, which required an adjustment to reconcile to free cash flow. The Q4 2024 change makes future T-Mobile FCF comparisons cleaner and removes a source of analyst confusion. It is a technical accounting change, but it has real comparability implications.

MAX: And Verizon's $26 billion of ABS — is that debt or is it

infrastructure?

NG: Verizon extended its installment plan terms from 24 to 30

months, then to 36 months beginning in 2022. Longer terms mean larger outstanding receivable balances, which supports larger ABS issuances. The $26 billion ABS balance is backed by those receivables — when customers pay their monthly device installments, that cash flows to the ABS trust, which repays the bondholders. In that sense it is self-liquidating: the asset and the liability mature together. Verizon excludes this from its own net leverage calculation for exactly that reason. The counterargument — which Morgan Stanley makes — is that the ABS program is a permanent structural feature of Verizon's capital stack. As old receivables pay off, new ones are originated. The trust is always full. It behaves more like a revolving credit facility than a term loan. Credit investors who include it in leverage see Verizon at $170 billion of adjusted gross debt, nearly equal to AT&T's $174 billion — despite Verizon having a materially lower underlying promotional loss than AT&T.

ROLLINS: The receivables comparison also reveals a less-discussed

distortion in how equipment gross loss is measured. Verizon records its EIP receivables gross — bill credit discounts remain as a separate contract liability, not netted against the receivable. T-Mobile and AT&T record receivables net of bill credits. The practical effect: Verizon's reported equipment revenue is higher than it would be under T-Mobile's accounting policy for economically identical transactions.

That means Verizon's equipment gross loss of $3.5 billion is arithmetically understated on a like-for-like basis. The true promotional commitment is larger than it appears.

MAX: So the final integrated picture — T-Mobile, Verizon, AT&T.

Which carrier's financial presentation is the most honest reflection of what is actually happening in the business?

ROLLINS: T-Mobile. Their receivables strategy is transparent.

Their EIP program now presents cash flows consistently with peers. They have no ASC 606 service revenue drag because they do not defer promotional credits in the way Verizon does. They have no pension income inflating earnings. No preferred interests subordinating bondholders. No vendor financing volatility. What you read in the T-Mobile 10-K is approximately what the business is generating. That is a premium worth paying.

NG: I would add one qualification. T-Mobile's true FCF — after

finance lease principal payments and tower obligation amortization — is closer to $16 billion than the $18 billion headline. The tower obligations alone carry an 11.6 percent effective interest rate from a failed sale-leaseback, versus 4 percent on T-Mobile's regular debt. That is a structurally expensive legacy financing that amortizes slowly. But even $16 billion of clean, growing, dividend-free FCF from a business with 29 percent subsidy burn and 3.45 times adjusted leverage is a compelling picture. The phones may be free. The financial scrutiny, evidently, is not.

SIGINT NOTE: ANALYST VIEWS SIMULATED FOR ILLUSTRATIVE PURPOSES ONLY.

Financial data sourced from SEC EDGAR 10-K and 10-Q filings FY2023-FY2025.
AT&T equipment cost estimated; not separately disclosed in annual filings.
TMUS capex estimated; exact figure not separately itemized in Adj. FCF bridge.
